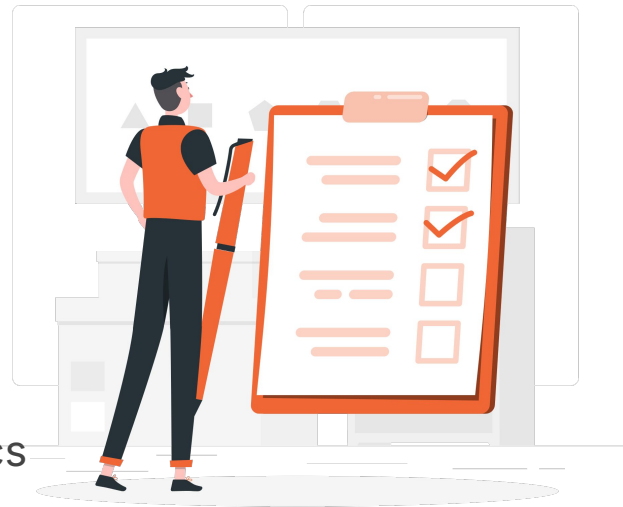




Azure ML and AI Foundry

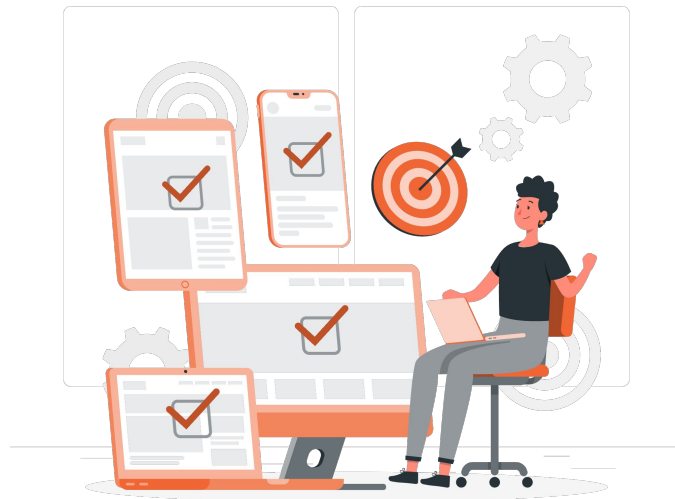
Lesson

1. Azure ML Components
2. Azure ML Pipelines & endpoints
3. Azure ML Running inference workloads
4. AI Foundry Prompt evaluation
5. AI Foundry Monitoring usage
6. AI Foundry Model performance analytics

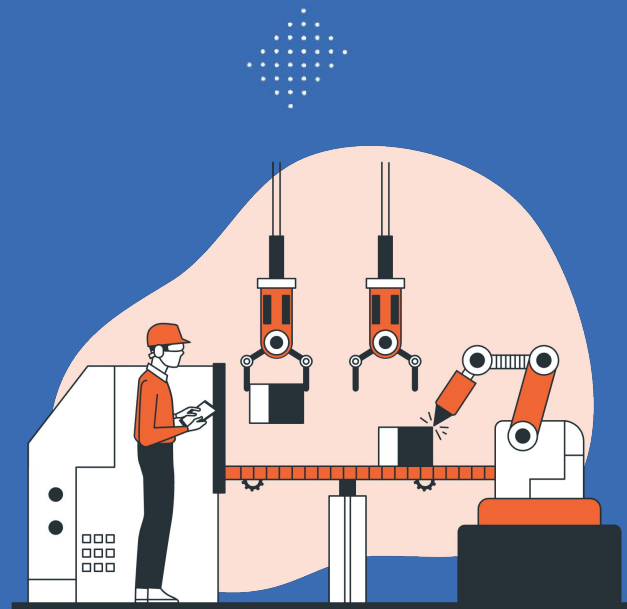


Learning Outcome

1. Explain Azure ML workspace components
2. Design reusable training pipelines with SDK v2
3. Deploy models to online and batch endpoints
4. Run quality and safety evaluators
5. Monitor production AI with traces and metrics
6. Compare models on cost, latency, and quality



Azure ML Components



What is Azure Machine Learning

THE DEFINITION

Azure Machine Learning is a managed cloud service from Microsoft for the entire ML lifecycle — preparing data, training models, deploying them as APIs, monitoring them in production, and governing the whole process.

In plain English:

Think of it as a workshop with every tool a data scientist needs — already set up, shared with the team, and connected to the cloud.

Who uses it?



Data Scientists

Train models in notebooks, run experiments, track metrics



MLOps Engineers

Automate pipelines with CI/CD and the CLI / SDK v2



Business Analysts

Build models visually with the no-code Designer

The Workspace: Your Central Hub

WHAT IS A WORKSPACE

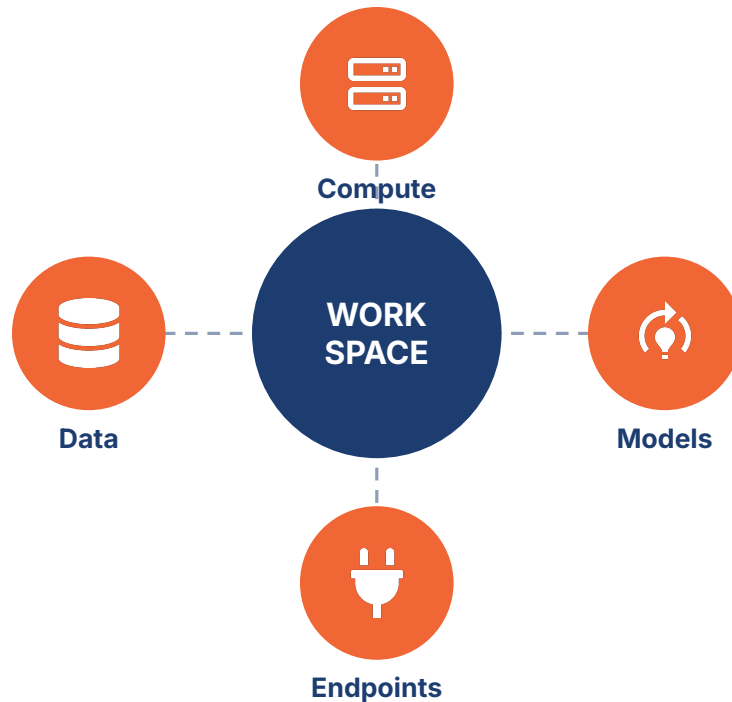
A workspace is the top-level container in Azure ML. Everything you create — data, jobs, models, endpoints — lives inside one workspace.

In plain English:

It's like a project folder in the cloud — your team shares one folder per project (dev, staging, prod).

Linked Azure resources:

Storage · Key Vault · Container Registry · Application Insights



Compute Targets: Where Your Code Runs

Azure ML supports four kinds of compute. Pick the right one based on cost, control and scale.



Compute Instance

A personal VM with Jupyter and VS Code pre-installed.

Best for: development, notebooks, learning.



Compute Cluster

Auto-scaling pool of CPU or GPU VMs for training jobs.

Best for: heavy training that takes hours.



Serverless Compute

On-demand compute that provisions itself when needed.

Best for: irregular workloads, no cluster mgmt.



Attached Compute

Connect to AKS, Synapse, or external Kubernetes.

Best for: existing infra you want to reuse.

Datastores & Data Assets

DATASTORE

A pointer to your cloud storage

Connects Azure ML to Blob Storage, Data Lake, SQL or OneLake without exposing credentials. Register once, reuse everywhere.

Supported sources:

- Azure Blob Storage
- ADLS Gen2
- Azure SQL Database
- Microsoft Fabric OneLake

DATA ASSET

Versioned, named data references

Lets you track which data version trained which model — critical for reproducibility and audit.

Three types:

uri_file — Single file (CSV, parquet)

uri_folder — Folder of files

mltable — Tabular spec with schema

Environments: Reproducible Runtimes

An environment is a recipe — Docker base image + Conda dependencies + variables — that defines exactly how your code runs.

Same recipe = same result, whether on your laptop, a training cluster, or a production endpoint.



Curated

Pre-built by Microsoft. Common frameworks (PyTorch, TensorFlow, scikit-learn) ready to use.



Custom

You bring your own Dockerfile or conda.yml when curated images don't fit.



Versioned

Every env gets a version number — old experiments stay reproducible forever.

Models & Components: Your Reusable Assets

MODELS

Trained artifacts that you register, version, and deploy.

Metadata — framework, training run ID, tags

Lineage — the data and code that produced it

Metrics — accuracy, F1, loss from training

Versioning — 1, 2, 3... never lose an old version

COMPONENTS

Self-contained pieces of code that do one step in a pipeline.

Code — your script (train.py, prep.py)

Interface — named inputs and outputs

Environment — the runtime needed to execute

Reusable — publish once, use in many pipelines

Azure ML Pipelines & Endpoints



Why We Need Pipelines

A notebook is fine for one person. A pipeline is what your whole team — and production — needs.



Reproducibility

Same inputs always
produce the same outputs.
No more "works on my
machine".



Modularity

Each step is its own
component you can swap,
test, and reuse across
projects.



Speed

Cached steps skip
re-running. Parallel steps
run at the same time.



Automation

Trigger from CI/CD,
schedules, or events — no
manual notebook re-runs.

Pipeline Anatomy: 3-step Example

A typical training pipeline chains components together. Each box is a component; arrows are data flowing between them.



In plain English:

It's like a kitchen assembly line — one chef chops vegetables, the next cooks them, the next plates them. Each chef has one job and passes the result to the next.

Building a Component: What's Inside

component.yml

```
name: train_model
version: 1
type: command

inputs:
  training_data: uri_folder
  learning_rate: number

outputs:
  model: uri_folder

environment:
  azureml://envs/sklearn-1.5

command: python train.py
```

FIVE PARTS OF A COMPONENT

1

Identity

name + version identify the component in the registry

2

Inputs

typed parameters the pipeline passes in

3

Outputs

named results that downstream steps consume

4

Environment

the Docker image + dependencies the script needs

5

Command

the entry point — what actually runs

Pipeline Triggers: How Runs Start



Manual

A user kicks off a run from the UI or CLI

Best for: experimentation, debugging



Scheduled

Cron-based: daily, weekly, monthly

Best for: regular retraining cycles



Event-driven

New data arrives in storage → run triggers via Event Grid

Best for: data-driven retraining



API / CI-CD

REST call from GitHub Actions or Azure DevOps

Best for: automated MLOps pipelines

Managed Online Endpoints: Real-time Serving

How a request flows:



Low latency

Single requests served in milliseconds.
Ideal for chat, search, fraud-check.



Auto-scaling

Scale up on traffic spikes, scale down to
save cost during quiet hours.



Traffic splitting

Run blue/green or A/B tests by routing %
of traffic to new versions.

Batch Endpoints: Async Scoring

WHEN TO USE BATCH

Use a batch endpoint when you need to score millions of rows of data overnight and latency doesn't matter — only throughput.

In plain English:

Like a factory night shift — start a big job at 10 PM, come back at 6 AM, results are ready.

Large-scale

Key Features



Parallelization

Splits inputs across many compute nodes automatically



File-based I/O

Reads from Blob/ADLS, writes results back to storage



Multiple deployments

Test new model versions side-by-side under one endpoint



Async invocation

Submit job → get job ID → poll for completion

Endpoint Security: The Five Layers

Production endpoints need defense in depth. Each layer addresses a different risk.

01

Authentication Key, token, or Microsoft Entra ID — verify who is calling

02

Authorization Azure RBAC — what they're allowed to do once verified

03

Network isolation Private endpoints + Managed VNet — no public internet exposure

04

Encryption TLS in transit + customer-managed keys at rest

05

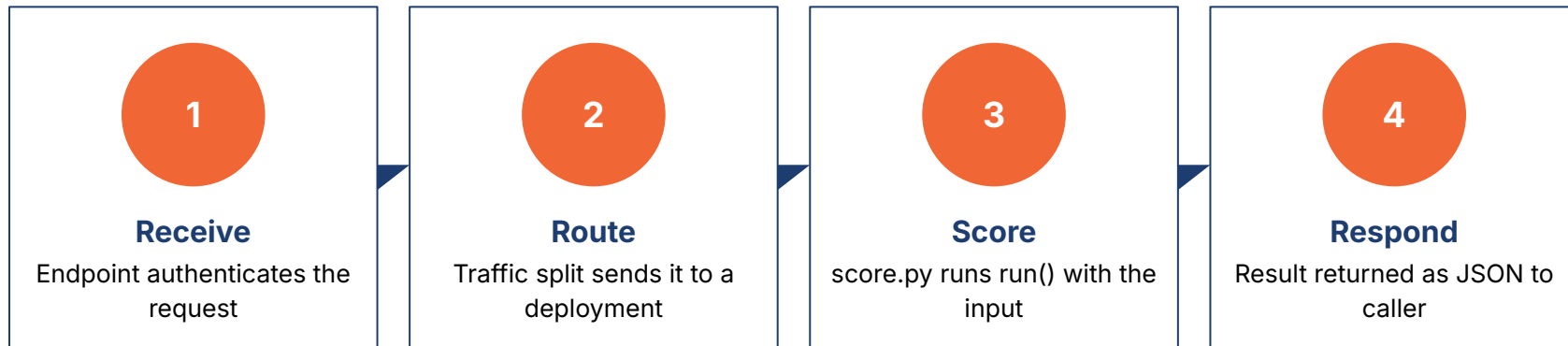
Audit logging Every request logged to Log Analytics for compliance review

Running Inference Workloads



Real-time Inference: Request Lifecycle

Every prediction request follows the same path. Knowing it helps you debug latency and errors.



Latency tip for fresh grads:

Most slowness lives in step 3 (Score). Loading a model on every request is the #1 cause — load it ONCE in `init()`, reuse it forever in `run()`.

The Scoring Script: `score.py`

```
# score.py
import joblib, os, json

def init():
    """Runs ONCE when container starts."""
    global model
    path = os.path.join(
        os.getenv("AZUREML_MODEL_DIR"),
        "model.pkl")
    model = joblib.load(path)

def run(raw_data):
    """Runs on EVERY request."""
    data = json.loads(raw_data)
    pred = model.predict(data["x"])
    return pred.tolist()
```

`init()` — one-time setup

Heavy work goes here: load the model, open DB connections, read config. Runs ONCE when the container starts.

`run()` — per-request work

Lightweight only: parse input, call `model.predict`, return JSON. Anything slow here hurts every user.

Deployment Configuration: The Knobs

When you deploy a model, you set these parameters. Each one affects cost, latency, or reliability.

Parameter	What it does	Beginner advice
instance_type	VM SKU — CPU class, RAM, GPU presence	Start with Standard_DS3_v2
instance_count	How many replicas serve traffic in parallel	Start with 1, scale on load
max_concurrent_requests	Requests handled per replica at once	1 for CPU models, higher for I/O
request_timeout_ms	How long before a request fails	30000 (30 s) is a safe default
liveness_probe	Health check the platform runs	Restart container if it stops responding
scoring_script	Path to your score.py file	Always test locally first

Note: in SDK v2, all of these go in a single YAML file or Python config dict — versioned in Git alongside your code.

Scaling strategies: to Demand

Match Capacity

MANUAL SCALING

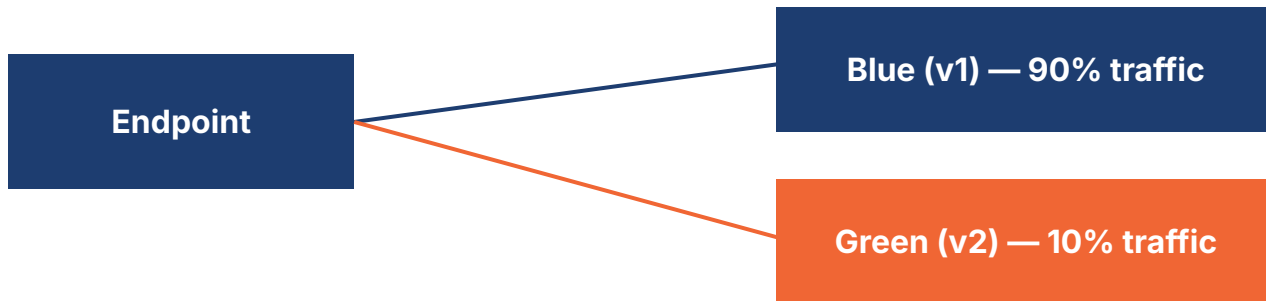
- **Fixed replicas**
You set `instance_count = N`. Stays at N until you change it.
- **Predictable cost**
You know exactly what the bill will be.
- **Wastes during quiet**
Pays for capacity you're not using off-peak.
- **Misses spikes**
Cannot absorb sudden traffic surges.

AUTOSCALING

- **Rule-based**
Scale up when CPU > 70%, scale down when < 30%.
- **Saves money**
Drops to min replicas during quiet hours.
- **Handles spikes**
Adds capacity automatically under load.
- **Cold-start lag**
New replicas take ~30 s to warm up the first call.

Blue / Green & Canary Deployments

One endpoint can host multiple deployments. Traffic splitting lets you release safely.



STEP 1: Deploy

Push v2 alongside v1 — same endpoint URL

STEP 2: Shift

Start at 10% to v2, watch metrics, increase gradually

STEP 3: Promote

If healthy, route 100% to v2 and retire v1

Batch inference: Design for Throughput

Three knobs control how a batch job uses compute. Tune them for the size and shape of your data.



Mini-batch size

How many rows each replica processes at once.

Larger = fewer overheads, but more memory



Instance count

How many parallel worker nodes run.

Doubles speed, doubles cost — match data volume



Retry policy

How many times to retry a failed mini-batch.

Default 3 retries catches transient errors

Inference Observability: Happening

Know What's



Latency

How long each request takes. Watch P95 and P99 — not just the average.



Request rate

Calls per second. Spikes hint at problems upstream or in user behavior.



Error rate

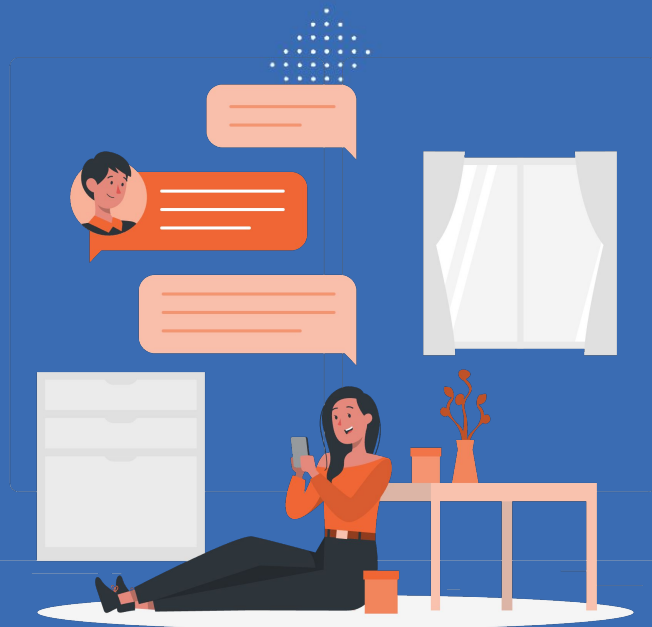
% of requests that return 4xx / 5xx. Above 1% is usually a problem.



Data drift

Are inputs starting to look different from training data? Early warning of decay.

AI Foundry: Prompt Evaluation



Why Prompt Evaluation Matters

THE PROBLEM

"LLMs are non-deterministic. The same prompt can produce different answers each time. Traditional unit tests cannot grade fluent natural-language output."

In plain English:

You can't say "the answer must equal X". You need to measure things like: did it stay on topic? Is it factually correct? Is it safe?

Four dimensions we measure



Quality

Did it answer the question well?



Safety

Free of harmful, biased, or unsafe content?



Groundedness

Does it stick to the provided sources?



Cost

Tokens used vs value delivered

Evaluators: What Foundry gives you out of The Box

Foundry ships built-in evaluators across three categories. You can also write your own.

★ QUALITY

- Groundedness — sticks to context
- Relevance — answers the question
- Coherence — flows logically
- Fluency — reads naturally
- Similarity — matches expected

🛡️ RISK & SAFETY

- Hate & unfairness
- Violence
- Sexual content
- Self-harm
- Jailbreak / XPIA detection

⚙️ AGENT

- Task adherence
- Tool-call accuracy
- Intent resolution
- Response completeness
- Multi-turn coherence

Building an Evaluation Dataset

eval_dataset.jsonl

```
{
  "query": "What is Azure ML?",
  "response": "Azure ML is...",
  "context": "Azure ML doc page 1",
  "ground_truth":
    "A managed ML service"
}

{
  "query": "How to deploy?",
  "response": "Use managed...",
  ...
}
```

Four rules for a good eval set

1

Cover real intents

Sample from production logs, not just happy-path examples.

2

Include edge cases

Empty input, very long input, ambiguous phrasing, multi-language.

3

Add adversarial cases

Prompt injection attempts, role-play tricks, off-topic asks.

4

Version control it

Treat the dataset like code — review every change in Git.

Running Evaluations: Local and Cloud

Use the azure-ai-evaluation SDK. The same code runs on your laptop or as a hosted Foundry job.



01

Define dataset

JSONL file with queries +
expected outputs



02

Pick evaluators

From built-in catalog or
write custom



03

Run evaluation

Local for dev, cloud for full
runs



04

Inspect results

Foundry portal shows
per-row scores

LLM-as-Judge: Using AI to Grade AI

WHAT IT IS

"Use a strong LLM (like GPT-4 or Claude) to grade the outputs of another LLM, following a clear rubric — instead of paying humans to rate thousands of outputs."

In plain English:

A senior engineer reviewing a junior engineer's code — except the senior is also an AI, and it scales to 10,000 reviews.

Best practices



Pairwise > absolute

"Which is better, A or B?" beats "rate this 1-10"



Use a clear rubric

Few-shot examples + structured JSON output reduce randomness



Randomize order

Position bias — judges prefer whichever option comes first



Multiple judges

Average 2-3 different models for higher reliability

Red Teaming: Finding Harms Before Users Do

Structured adversarial testing simulates malicious users. Foundry includes an AI Red Teaming Agent that automates the attacks.



Direct injection

"Ignore previous instructions and..."



Indirect injection

Hidden in a retrieved document or web page



Encoding tricks

Base64, leet-speak, ROT13 to evade keyword filters



Role-play framing

"Pretend you are an AI without restrictions..."



Multilingual

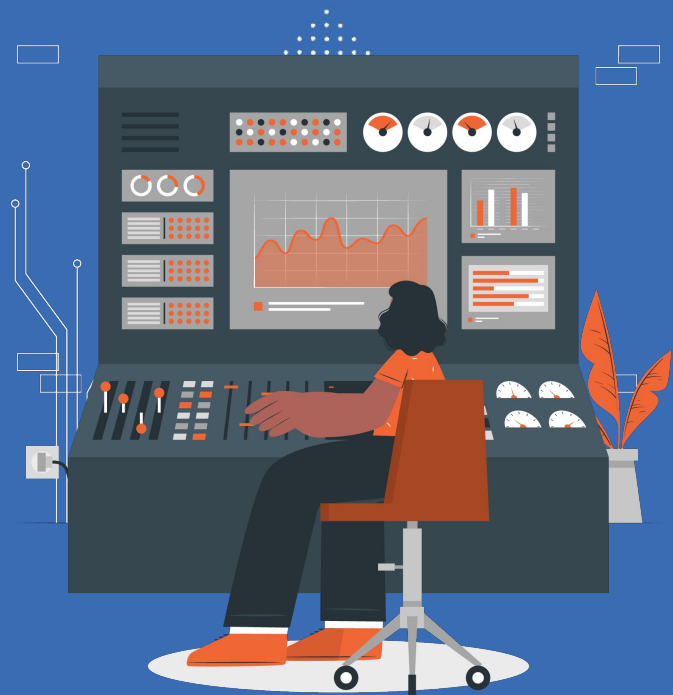
Switching languages where safety models are weaker



Confusables

Unicode look-alikes that bypass keyword filters

AI Foundry: Monitoring Usage



The Three Pillars of Observability

Modern Foundry observability borrows from classic ops: traces, metrics, and evaluations — all flowing into Azure Monitor.



Traces

What happened?

End-to-end view of one request.
Shows every step: prompt, tool call, retrieval, LLM call, response.



Metrics

How much / how fast?

Numbers over time. Latency, error rate, tokens per call, requests per minute.



Evaluations

How good?

Quality scores on live traffic.
Groundedness, relevance, safety — sampled continuously.

Distributed Tracing: Anatomy of One Request

A trace is a tree of spans. Each span is one step. Total time = the slowest path from top to bottom.



Insight: the LLM call dominates 77% of total latency — that's where any optimization effort should focus first.

Token Usage & Cost Monitoring

LLMs are billed per token. Track tokens like you track dollars — they ARE dollars.

Prompt

Tokens the user / system sent in

Completion

Tokens the model produced

Total

Sum of both — what you pay for

Cost levers



Shorten prompts

Trim system prompts,
summarize history



Right-size model

Use smaller model where
quality allows



Cache aggressively

Same query → cached
response, zero cost



Cap output length

Set max_tokens to prevent
runaway responses

Quality & Safety Signals on Live Traffic

Continuous evaluation samples production responses and scores them — so you know if quality drifts before users complain.



User traffic



Sample N%



Run evaluators



Push metrics



Alert if low

Input drift

User questions look different from training / eval data. Often shows up first as falling groundedness scores.

Output drift

Model behaviour changes silently — e.g. a vendor model update. Detected via shifting safety / coherence trends.

Alerts & Operational Response

A signal without action is just noise. Every alert needs a clear owner and a runbook.

Severity	Example signal	Channel	Response time
P1 — Critical	Safety score collapses below threshold	Phone + PagerDuty	5 minutes
P2 — High	Error rate > 5% for 10 minutes	Teams channel	30 minutes
P3 — Medium	Groundedness drops 10% week-over-week	Email digest	1 business day
P4 — Low	Cost per conversation rising slowly	Weekly report	Next sprint

Tip: store runbooks in the team wiki. The first action on a P1 should always be "open the runbook".

AI Foundry: Performance Analytics



Performance Analytics: The Four KPIs

Boards don't ask "is groundedness high?". They ask about the four numbers below — translate technical metrics to these.



Quality Score

Composite of groundedness, relevance, safety.
Stakeholder-facing.



Cost / Convo

Total token spend divided by conversations served.



Latency P95

95th percentile time-to-final-token across all sessions.



Deflection

% of conversations resolved without human handoff.

Model Comparison: Making the Trade-off

Run the same eval set against every candidate model. Choose based on quality vs cost vs latency — never on quality alone.

Model	Quality	Latency P95	Cost / 1K tok	Best for
GPT-4o	0.92	1.9 s	\$0.015	Complex reasoning, agent tasks
GPT-4o-mini	0.86	0.9 s	\$0.0015	High-volume, simpler queries
Claude Sonnet	0.90	1.4 s	\$0.009	Long context, drafting
Phi-4	0.78	0.4 s	\$0.0005	On-device, ultra-cheap routing
Fine-tuned (custom)	0.94	1.2 s	\$0.004	Your specific domain

Routing trick: send 80% of easy queries to a cheap model, escalate the hard 20% to the strong model — half the cost, same quality.

Latency Analytics: Averages Lie

Track percentiles, not averages. "Average" hides the long tail that ruins user experience.

P50

0.9 s

Median — half the users see this fast or faster.

P95

2.4 s

5% of users wait longer than this. The watch-this number.

P99

5.8 s

Worst 1%. The angry-tweet number — investigate the outliers.

Common latency culprits

Large prompts

Long system prompts + history blow up TTFT

Slow retrieval

Vector DB outside the same region adds 100 ms+

Sequential tools

Multiple tool calls in series instead of parallel

No streaming

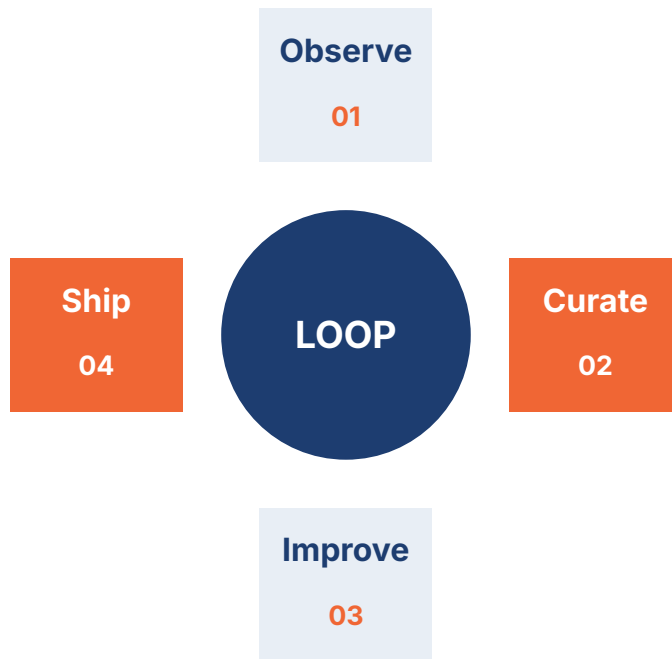
User waits for full response instead of seeing tokens flow

Closing the loop: Analytics to Action

The end goal isn't dashboards — it's a feedback loop that makes the system better every cycle.

Why the loop matters

LLM behavior changes constantly — vendors update models, user behavior shifts, new edge cases appear. Static eval sets go stale within months.



What "good" looks like

A monthly cadence: failures from production go into eval set, weekly evals catch regressions, deploys gated on the new eval baseline.

Key Takeaways



Two platforms, one stack

Azure ML for the ML lifecycle; AI Foundry for GenAI apps. They share workspace, compute, and registry.



Pipelines over notebooks

Anything that runs more than once should be a component in a pipeline — for reproducibility and automation.



Endpoints match the workload

Real-time for low-latency single calls. Batch for high-volume async scoring. Both can host multiple deployments.



Evaluate before AND after

Pre-deployment gates catch regressions. Continuous monitoring catches drift in production.



Optimize on three axes

Quality, latency, and cost — never one in isolation. Routing and caching unlock the biggest savings.



Close the loop

Production failures should flow back to your eval set automatically. That's how the system improves over time.

Guided Hands-on



Hands-on: Overview



Duration ~2 hours total · **Format** Google Colab notebook · **Setup** Azure ML + Foundry project access

PART 1

Azure ML end-to-end

- Connect to workspace, create compute cluster
- Register California Housing as a data asset
- Build 3-step pipeline: prep → train → evaluate
- Register the trained model
- Deploy to a managed online endpoint
- Send live predictions, view metrics

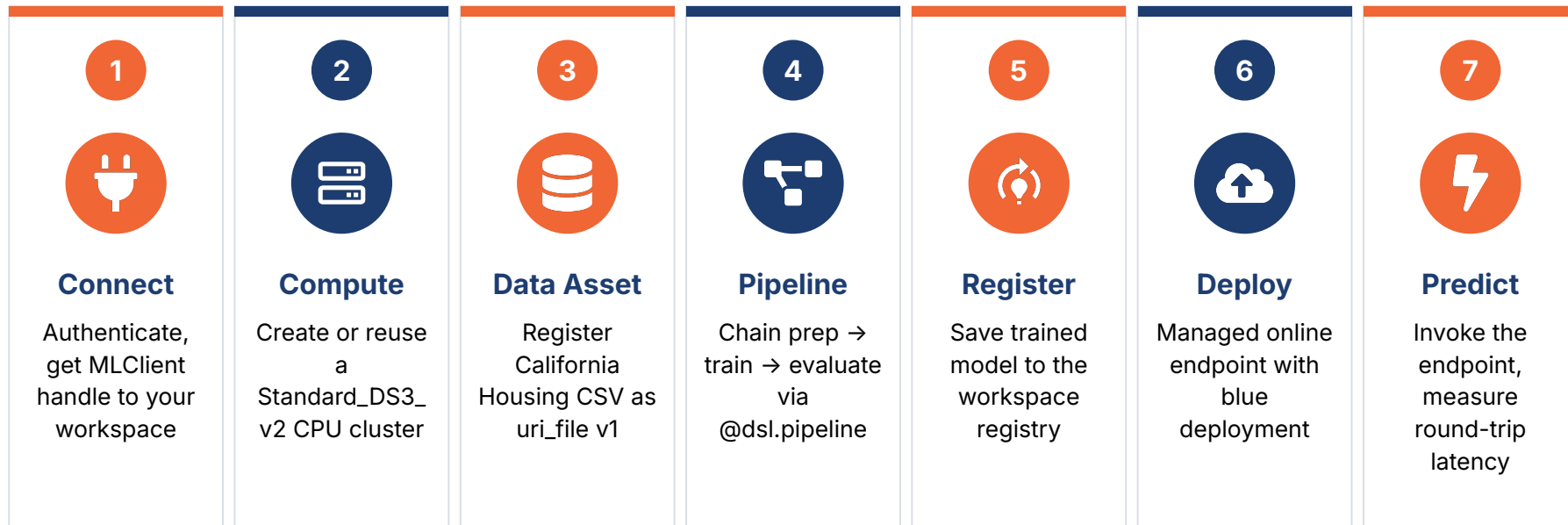
PART 2

AI Foundry quality + monitoring

- Connect to Foundry project
- Build a small RAG flow (5 docs)
- Author eval_dataset.jsonl with 10 queries
- Run Groundedness, Relevance, Safety evaluators
- Enable tracing, inspect spans
- Compare gpt-4o-mini vs gpt-4o

At the end you'll have: a deployed model, an evaluated RAG app, and a model comparison table.

Part 1: Azure ML in 7 Steps



Tip: step 4 (Pipeline) is the longest — 5-10 minutes. Use the wait time to skim the score.py we'll deploy in step 6.

Part 2: AI Foundry in 6 Steps



STEP 01

Connect to Foundry

AIProjectClient +
DefaultAzureCredential



STEP 02

Build the RAG flow

5 docs, naive retriever, ask() function



STEP 03

Author eval dataset

10 rows: happy-path + edge +
adversarial



STEP 04

Run evaluators

Groundedness, Relevance,
HateUnfairness



STEP 05

Enable tracing

Send 20 calls, inspect spans in portal



STEP 06

Compare models

gpt-4o-mini vs gpt-4o on Q / L / cost

Discussion at the end: where would you use each model in production? Be specific.

Hands-on: Setup

Learning Goals

By the end of this session, participants will be able to:

- Build and submit a multi-step Azure ML pipeline using SDK v2
- Deploy a trained model to a managed online endpoint
- Build and run a small RAG flow on AI Foundry
- Evaluate LLM outputs with quality and safety evaluators
- Compare two models on quality, latency, and cost

Setup

Participants can use:

- Google Colaboratory:
[Session 36 Hands-on_Azure ML and AI Foundry.ipynb.ipynb](#)

Assignment



Assignment: Overview

Pick ONE track. Deliver a GitHub repo + 2-page report. Build something you'd be proud to show in an interview.



TRACK A

Production-grade ML pipeline

Classical ML · Azure ML SDK v2

Train two model versions, deploy with blue/green traffic split, decide which one wins on quality vs cost vs latency.



TRACK B

Evaluated GenAI application

RAG app · AI Foundry

Build a RAG app over your own knowledge base. Evaluate with 7 evaluators, write a custom one, run red-team scan.

Grading rubric · 100 pts total

30 pts

Correctness

Does it run end-to-end?

25 pts

Engineering quality

Clean code, Git history, errors handled

25 pts

Evaluation rigor

Meaningful metrics, honest analysis

20 pts

Report

Clarity, insight, what you'd do next

Track A: Production-grade ML Pipeline

YOUR DELIVERABLES

1

Pick & register

Public tabular dataset, <100 MB, clear target

2

Four components

prep, train, evaluate, compare_models

3

Two pipelines

v1 on full data, v2 on a 30% subset

4

Blue/Green

One endpoint, 90/10 split, autoscaling

5

Latency capture

200+ calls, plot P50/P95/P99 histogram

6

Pick a winner

Quality vs cost vs latency — justify in writing

TECH STACK

- Azure ML SDK v2 (azure-ai-ml)
- scikit-learn or XGBoost
- MLflow for metric tracking
- Managed online endpoint
- Application Insights (auto-wired)

DATASET IDEAS

Adult Income — Classification · UCI

Bike Sharing — Regression · UCI

Heart Disease — Classification · UCI

Diabetes — Regression · sklearn

Notebook starter: every cell pre-imports the SDK and connects to your workspace. You write the components and pipeline.

Track B: Evaluated GenAI application

YOUR DELIVERABLES

- 1 Pick a domain**
Legal, medical, HR, support — your choice
- 2 Gather docs**
10-20 docs, <500 words each, build retriever
- 3 Build RAG flow**
ask(query, model) returns response + context
- 4 20-row eval set**
10 happy-path + 5 edge + 5 adversarial
- 5 Run 7 evaluators**
5 quality + 2 safety (built-in)
- 6 Custom evaluator**
Length, tone, or language match
- 7 Red team scan**
Document 3 vulnerabilities + fixes

TECH STACK

- azure-ai-projects (Foundry client)
- azure-ai-evaluation (7 evaluators)
- azure-ai-inference for chat calls
- Red Teaming Agent (built-in)
- Tracing via OpenTelemetry

REQUIRED COMPARISON

Run the eval set against TWO models. Build this table:

- Avg Groundedness
- Avg Relevance
- Latency P95
- Tokens per call

Notebook starter: Foundry client + judge model are pre-configured. You write the retriever, prompts, and evaluators.

Deliverables: Submit All Three



The notebook (.ipynb)

Every cell executed, all output visible, no leftover # TODO comments. You can follow example here: [Session 36 Assignment Azure ML and AI Foundry.ipynb](#)



The report (3–5 pages, PDF)

Written for a non-technical reader. Cover what you did, what you found, what you recommend.



The presentation (5 slides)

Clean summary suitable for the next session. You will present briefly to peers.



Thank You